

		Profit/Loss (in ₹Crore)		
	FY25	FY23	FY24	FY25
	3,694	73	298	422
	7,009	-64	-10	297
	1,261	-312	-93	240
	2,024	-147	-136	128
	612	-88	-60	13
	782	-15	-17	6
	178	-13	0.5	1.8
	1,305	-146	-15	-35
	1,374	-101	-50	-63
	959	-109	-14.2	-102
	1,103	-198	-341	-140
	2,274	-227	-340	-145
	1,770	-167	-142	-222
	2,887	-84	-1,131	-243
	2,305	-864	-1,060	-812
	9,899	-1,675	-305	-3,884

To be sure, losses had been narrowing over time. But the timing of the company's first reported profit—just ahead of its listing—invited scrutiny by investors.

Urban Company's trajectory followed a similar arc. The home services platform debuted on the markets with an IPO of around ₹1,900 crore in September 2025, after swinging from a ₹93 crore loss in FY24 to a ₹240 crore profit in FY25.

A large part of that turnaround was driven by a ₹211 crore tax adjustment—once again highlighting how profitability can be shaped by non-operating factors.

GOVERNANCE FOCUS

"Governance practices from the early on are still largely ignored by start-up founders," says Amit Tandon of Institutional Investor Advisory Services (IiAS), a proxy advisory firm providing investors with opinion, research and data on corporate governance issues.

The focus, he says, is overwhelmingly on growth. "The moment you have systems and processes, there are checks, which is not what start-up founders want."

Those concerns are playing out in the case of Imagine Marketing, parent of consumer electronics brand boAt, set to go public with a ₹2,000 crore IPO. The biggest red flag, market experts say, is that both co-founders—Aman Gupta and Sameer Mehta—stepped down from executive roles ahead of listing.

The company's financials add complexity. boAt reported losses of ₹129 crore in FY23 and ₹80 crore in FY24 before swinging to a profit in FY25. Revenue has declined for three consecutive years—from ₹3,403 crore in FY23 to ₹3,135 crore in FY24 and ₹3,098 crore in FY25.

According to a source in the accounting profession running a chartered accountancy firm, boAt reported a profit in FY20 and FY21, but slipped into a loss due to a surge in advertising expenditure. Marketing expenses jumped from around ₹99 crore in FY22 to over ₹400 crore in FY23.

While revenue peaked in FY23, the subsequent moderation raises questions about whether heavy marketing delivered durable topline gains, or merely short-term scale.

The company declined to respond to questions sent by *Business Today*, saying it was not in a position to participate in any form of interview because it was close to its initial share sale.

Several companies founded nearly a decade ago—Lenskart (2008), software-as-a-service (SaaS) firm Capillary Technologies (2008), Urban Company (2014) and workspace provider WeWork India (2017), among others—reported profitability only around the time they went public.

Lenskart declined to comment for this story, citing the silent period ahead of earnings announcements during which companies refrain from speaking to the media. Urban Company didn't respond to requests for comment.

Lenskart shares had slid as much as 11% from their sale price on their stock market debut before recovering in November. Urban Company's shares made a stellar debut on the BSE on September 17, 2025, listing at a 56.3% premium over its issue price. The ₹1,900-crore IPO was oversubscribed by over 103 times, indicating strong investor interest.

Business Today reached out to other start-ups that went public in 2025 for comment; only edtech company PhysicsWallah responded.

To be sure, this isn't the first time that start-up stocks have attracted negative scrutiny. As long ago as in 2021, Paytm, India's largest digital ecosystem for